

are the top five factors that determine your credit score according to Investopedia.com.²⁵

1. **Payment history: accounts for 35% of your score.** When a lender loans you money, they only care about one thing: getting their money back. If your credit history shows that you frequently miss payments or have had trouble paying off your previous debt, it is going to hurt your credit score. How long ago you missed payments and how late your payments were also affects your score. For instance, if you currently have a line of credit with a bill that is 90 days overdue, it is going to hurt your score more than a payment that was only 30 days late and occurred five years ago.
2. **Amounts owed: accounts for 30% of your score.** Some scoring looks at the ratio between how much credit you have had made available to you and how much of that credit you have used. For instance, if a company gives you a credit card with a \$15,000 limit, you do not want to constantly owe \$14,000 on the card. Ideally, you will have a small balance below 30% of your limit. The type of credit also influences your score. If you owe \$500,000 toward a house, it looks much better than owing \$50,000 on a credit card.
3. **Length of credit history: accounts for 15% of your score.** Your credit score also considers how long you have had lines of credit. An older person who has responsibly maintained lines of credit for 50 years is going to be much

25 Amy Fontinelle, "The 5 Biggest Factors That Affect Your Credit," Investopedia, June 25, 2019, <https://www.investopedia.com/articles/pf/10/credit-score-factors.asp>.